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As I entered my last few days in office, I wanted to leave explaining why an independent central bank was necessary in India. An invitation from St Stephen's College, which has produced so many good economists in India, was the ideal venue. There was one specific issue I wanted to clarify, the RBI dividend. Despite paying the largest amounts the RBI had ever paid to the government as dividend during my term as Governor, there was still constant suggestions that we could pay more. Some of these suggestions reflected an inadequate understanding of the economics at work in a central bank's balance sheet. On my last day in office, 3 September 2016, I addressed both issues.

The Independence of the Central Bank

Good morning. It is great to be invited to speak at St Stephen's College. In 1980, I toyed with the idea of joining my best friends in applying for admission to the BA in Economics here. Because I had worked so hard for the IIT exam, however, I succumbed to the sunk cost fallacy and studied Electrical Engineering. I don't regret a moment of that misspent youth but I hope you will grant me temporary membership of your club today!

Over the last few weeks, I have outlined the RBI's approach to inflation, distressed debt, financial inclusion, banking sector reform, and market reform. Today, I want to explain why all this means India needs a strong and independent RBI to ensure macroeconomic stability. Then I will discuss what I think is needed to ensure such independence going forward.

THE NEED FOR MACROECONOMIC STABILITY

Growth is good, but growth with stability is better, especially in a poor country where so many people live at the margin. For the RBI, it